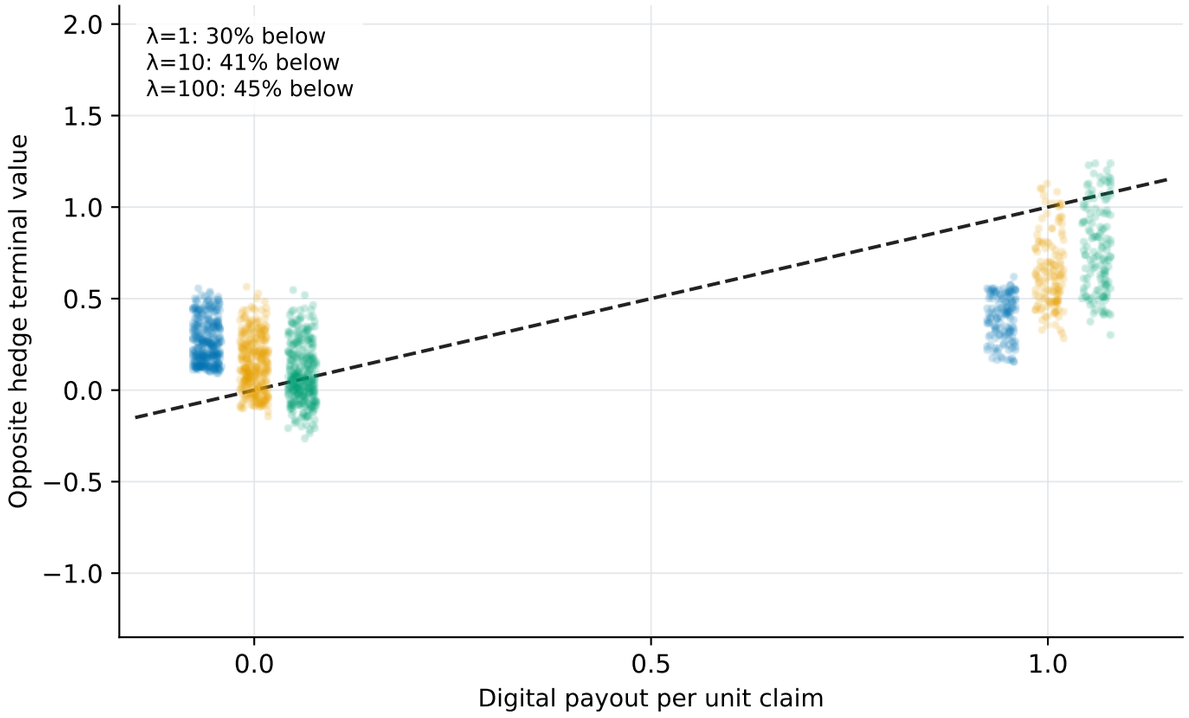
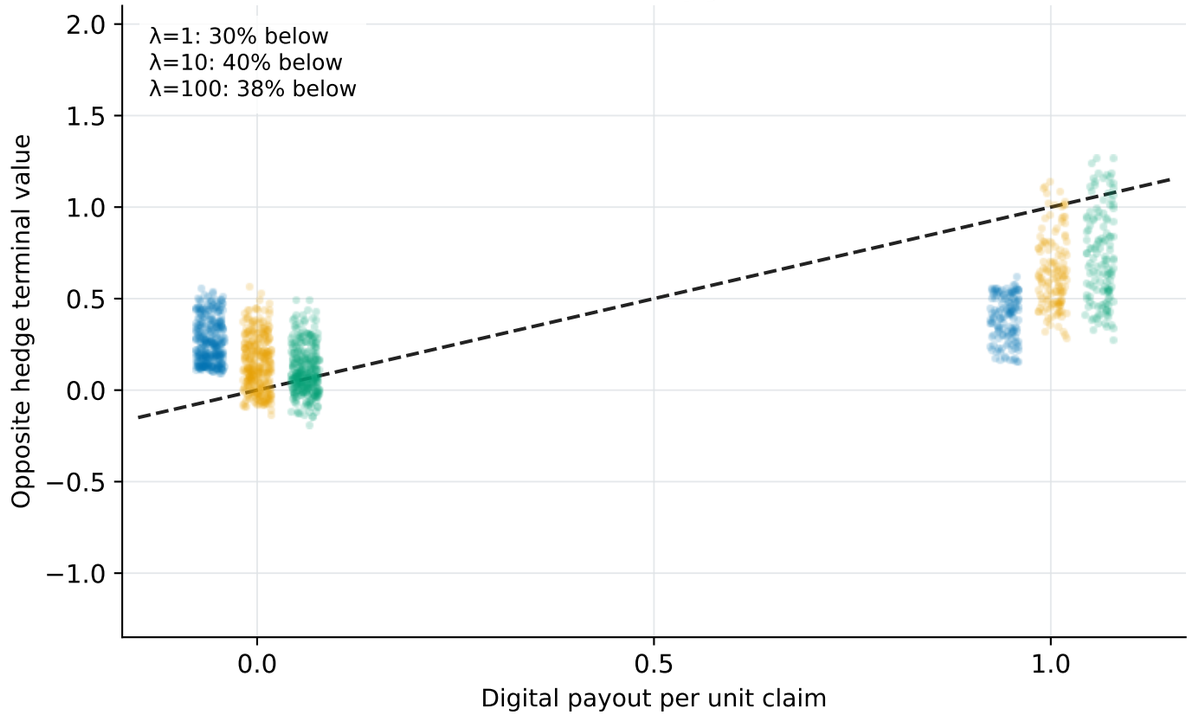
Historical SANOS: opposite long-claim hedge versus digital payout

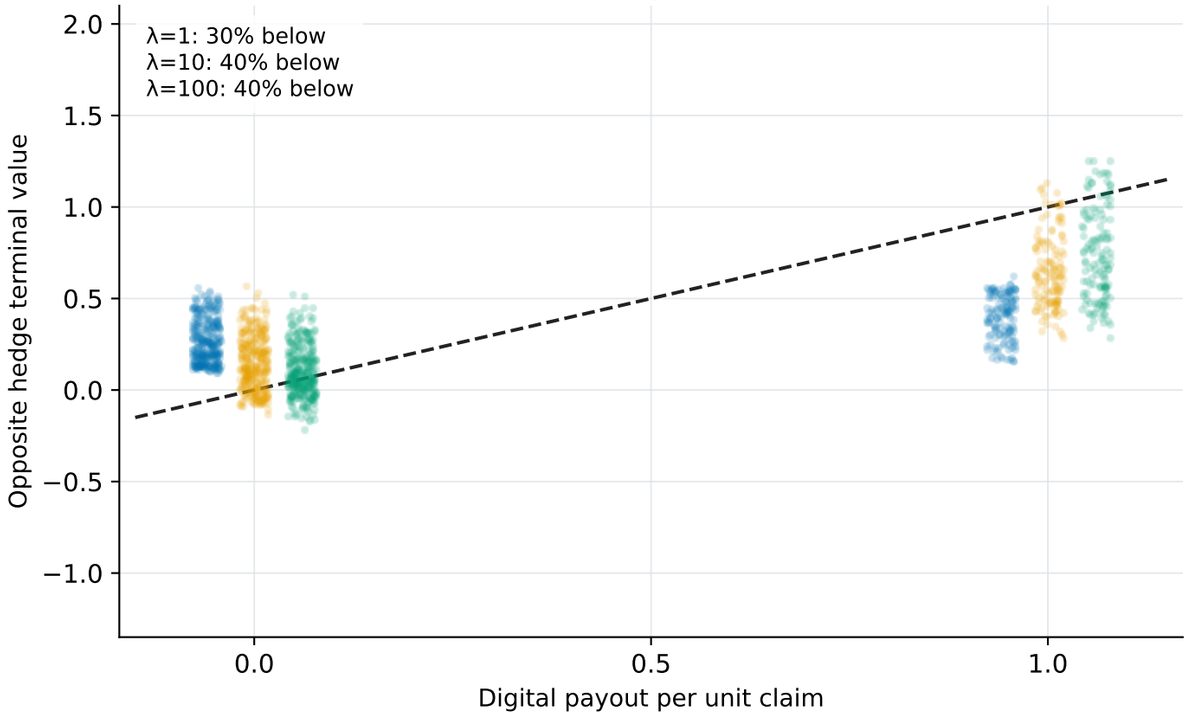
Mean-variance



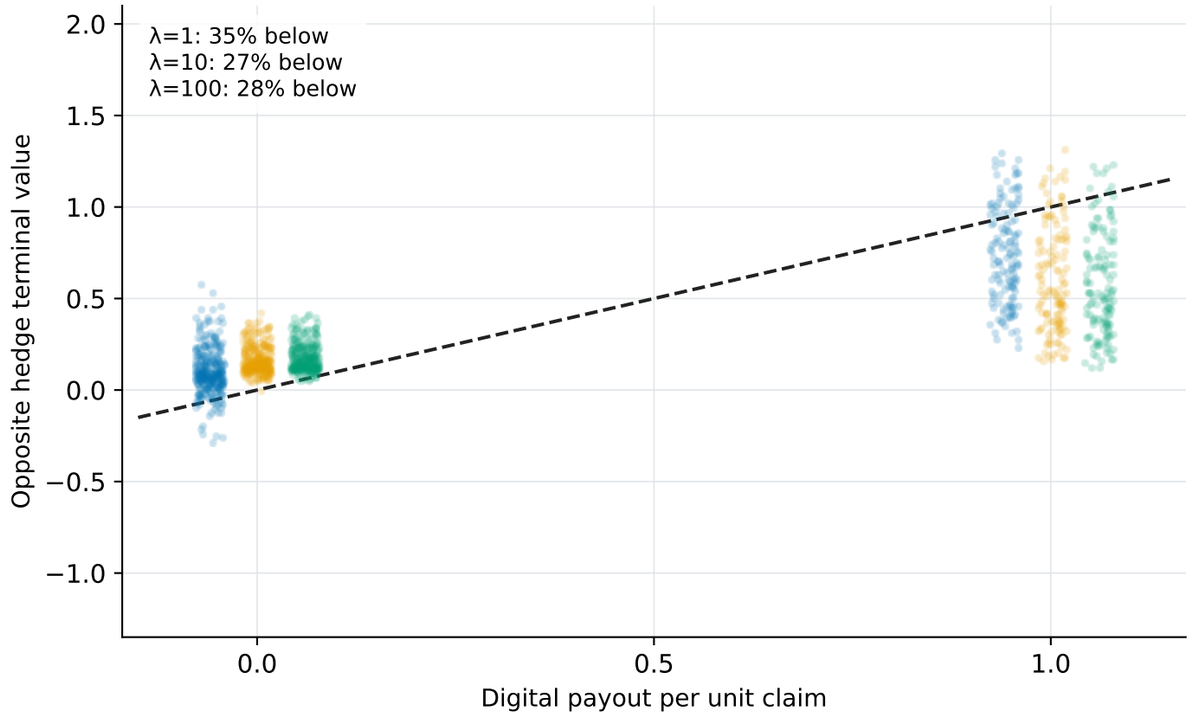
Entropy



Power-exponential



CVaR OCE

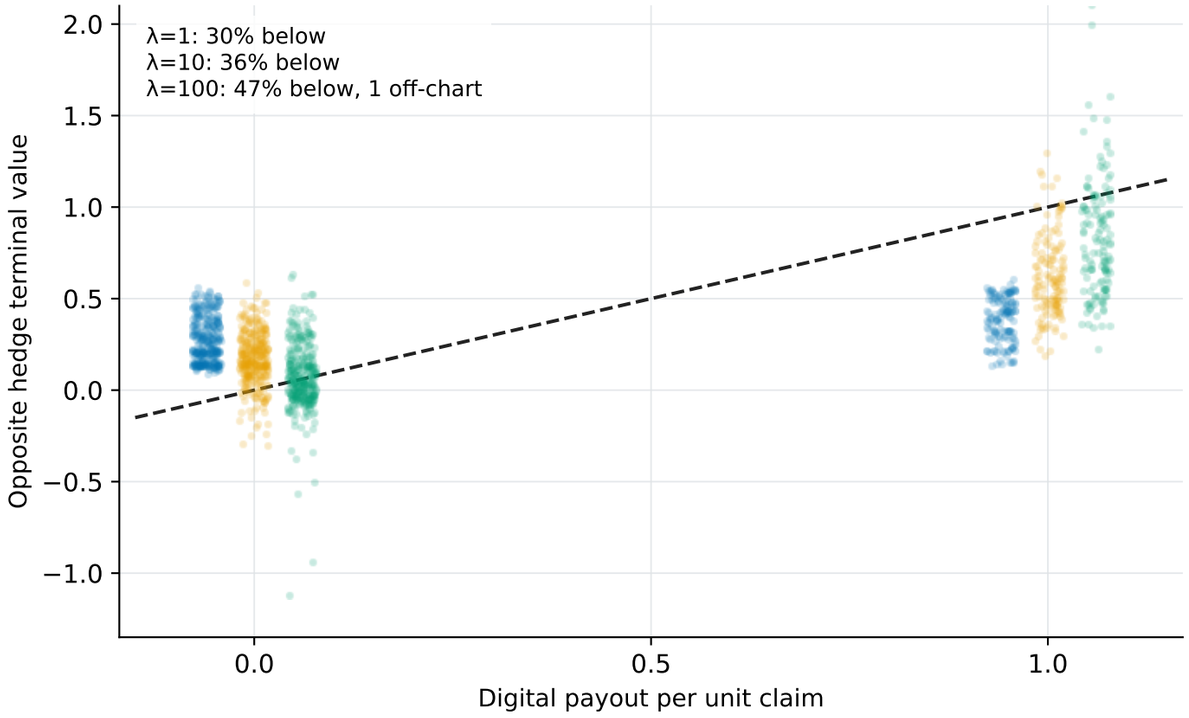


λ = 1 λ = 10 λ = 100

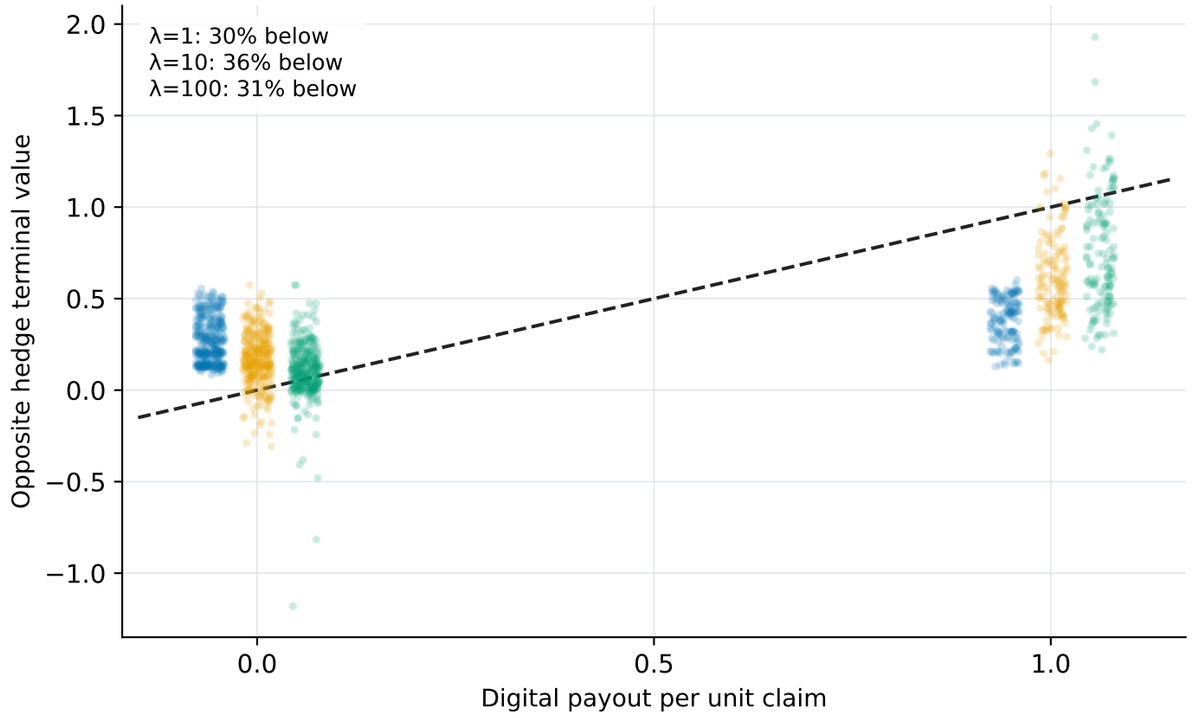
Out-of-sample market transitions; 44 dates × 10 digitals per complete cell. Below diagonal violates short-side coverage at the market premium. These are reversed long-side actions, not reoptimized superhedges.

FuNVol: opposite long-claim hedge versus digital payout

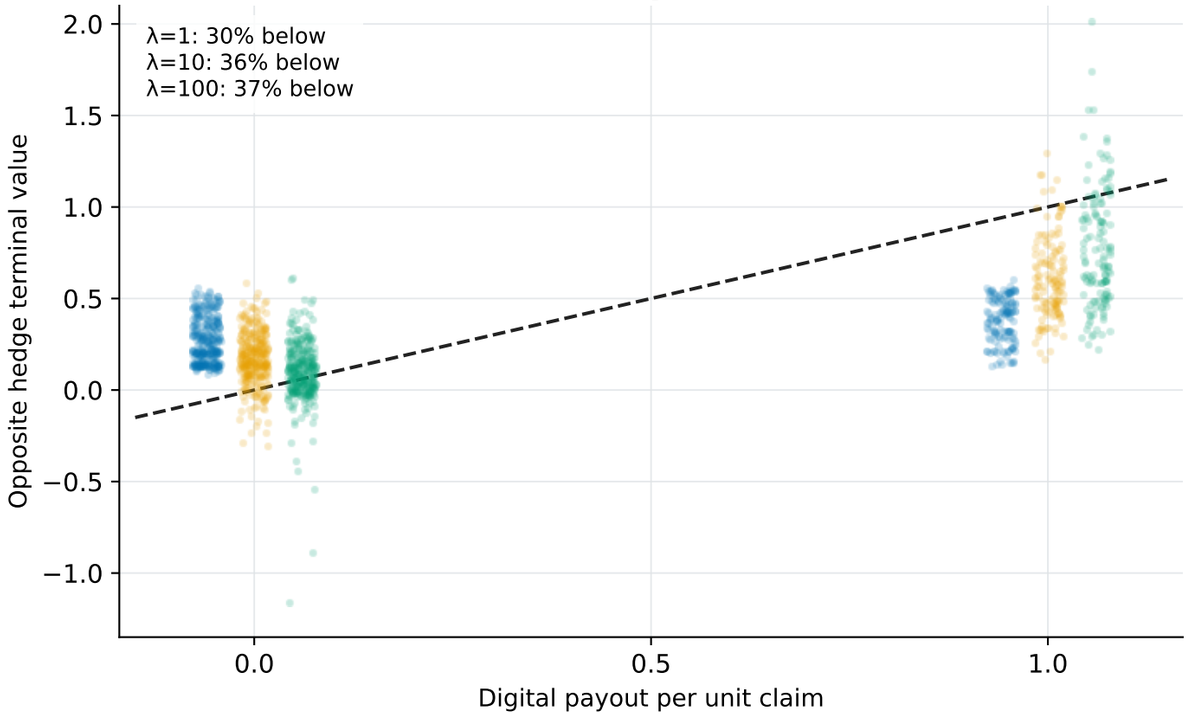
Mean-variance



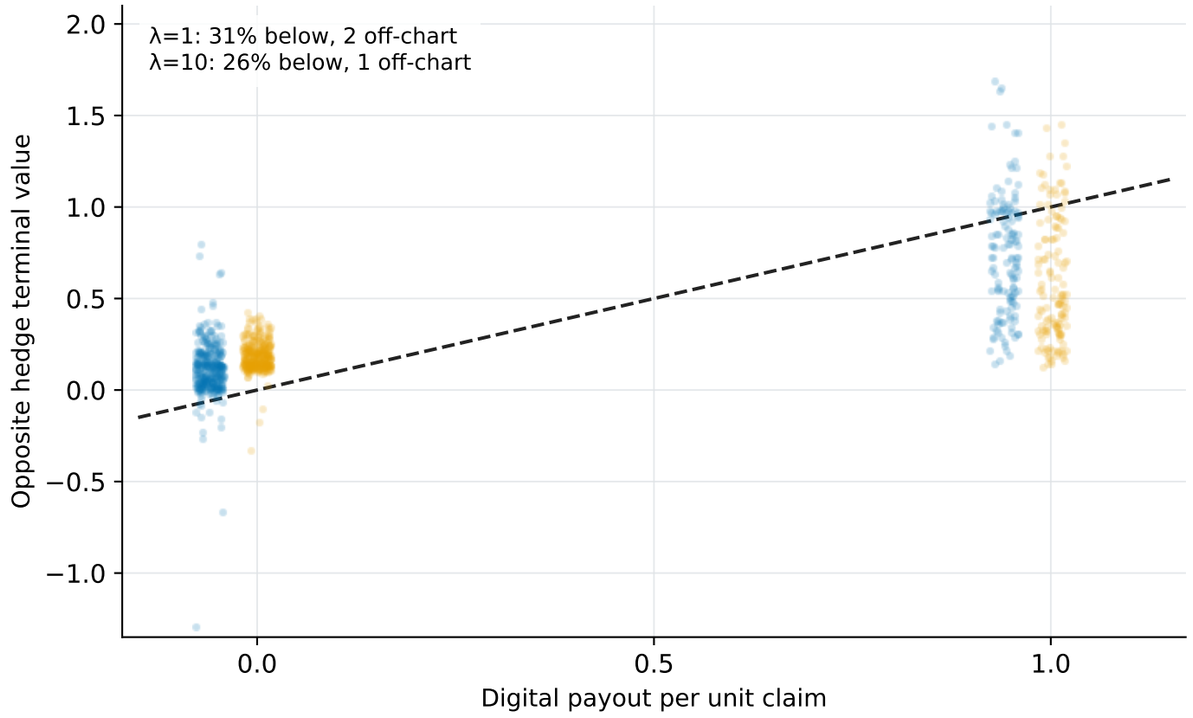
Entropy



Power-exponential



CVaR OCE

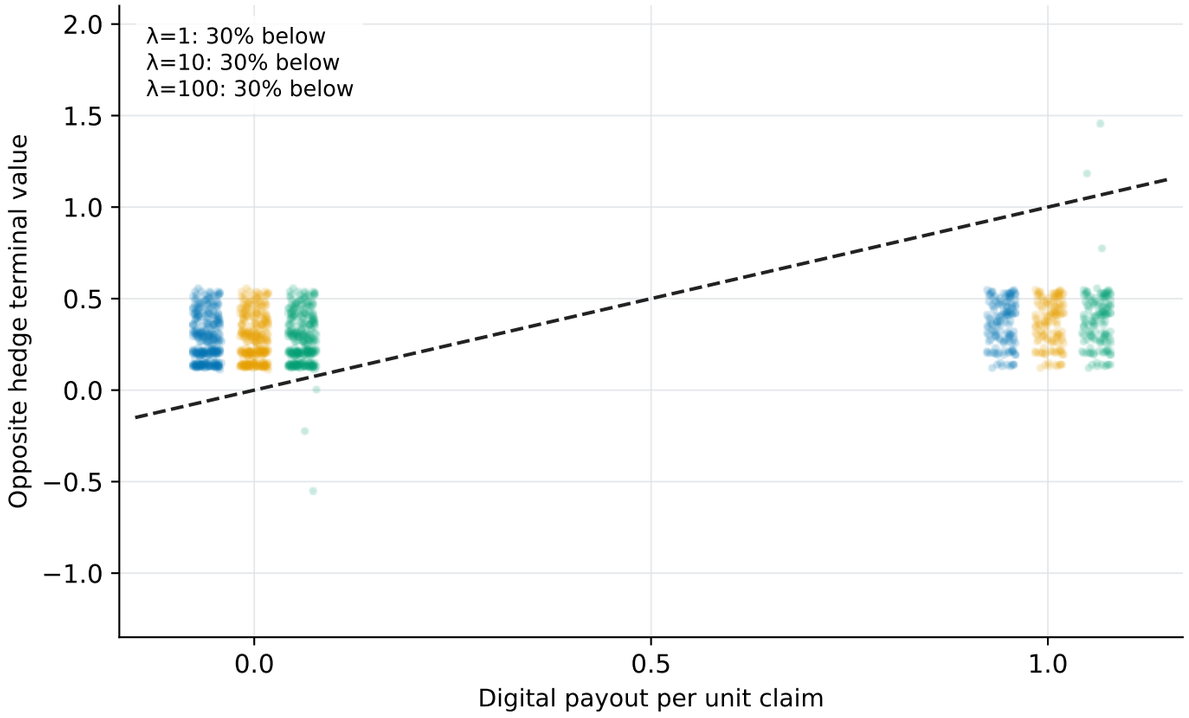


λ = 1 λ = 10 λ = 100

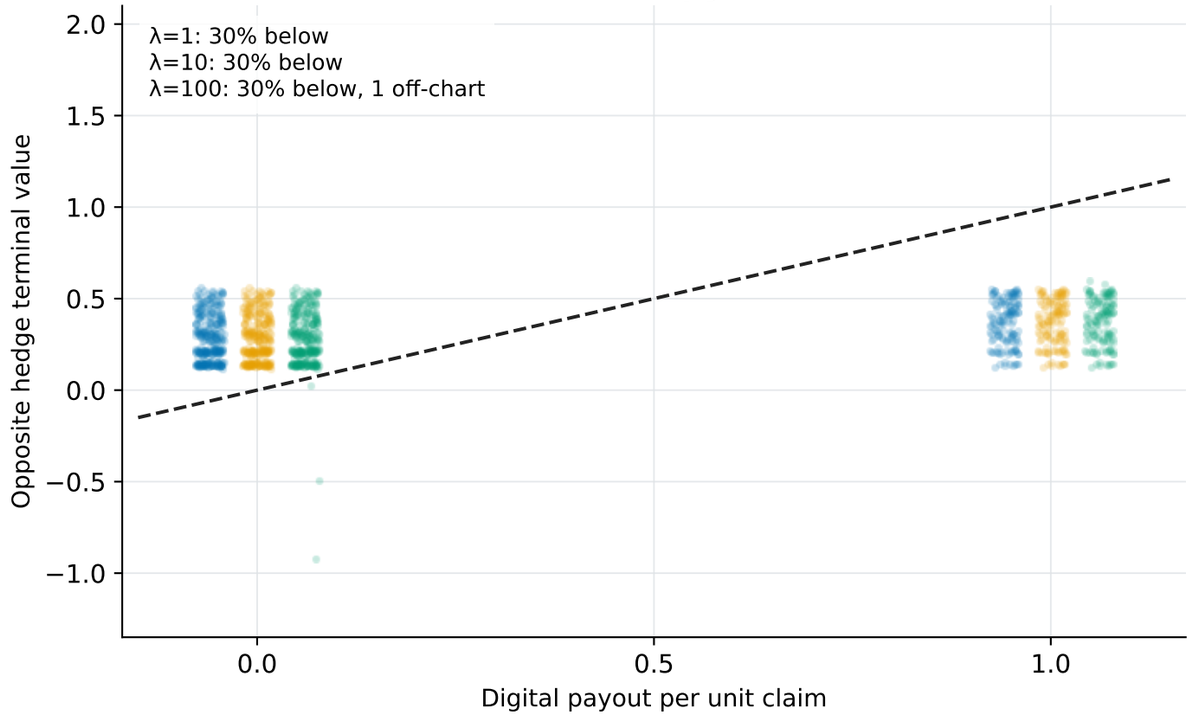
Out-of-sample market transitions; 44 dates × 10 digitals per complete cell. Below diagonal violates short-side coverage at the market premium. These are reversed long-side actions, not reoptimized superhedges.

VolGAN: opposite long-claim hedge versus digital payout

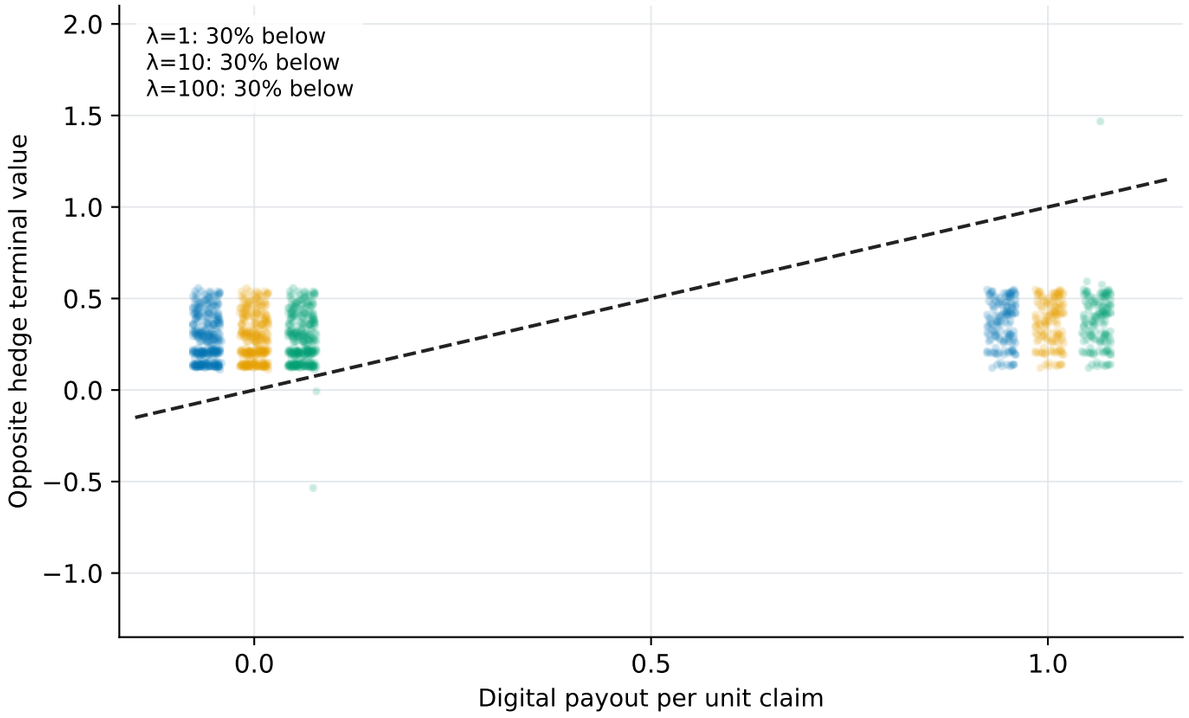
Mean-variance



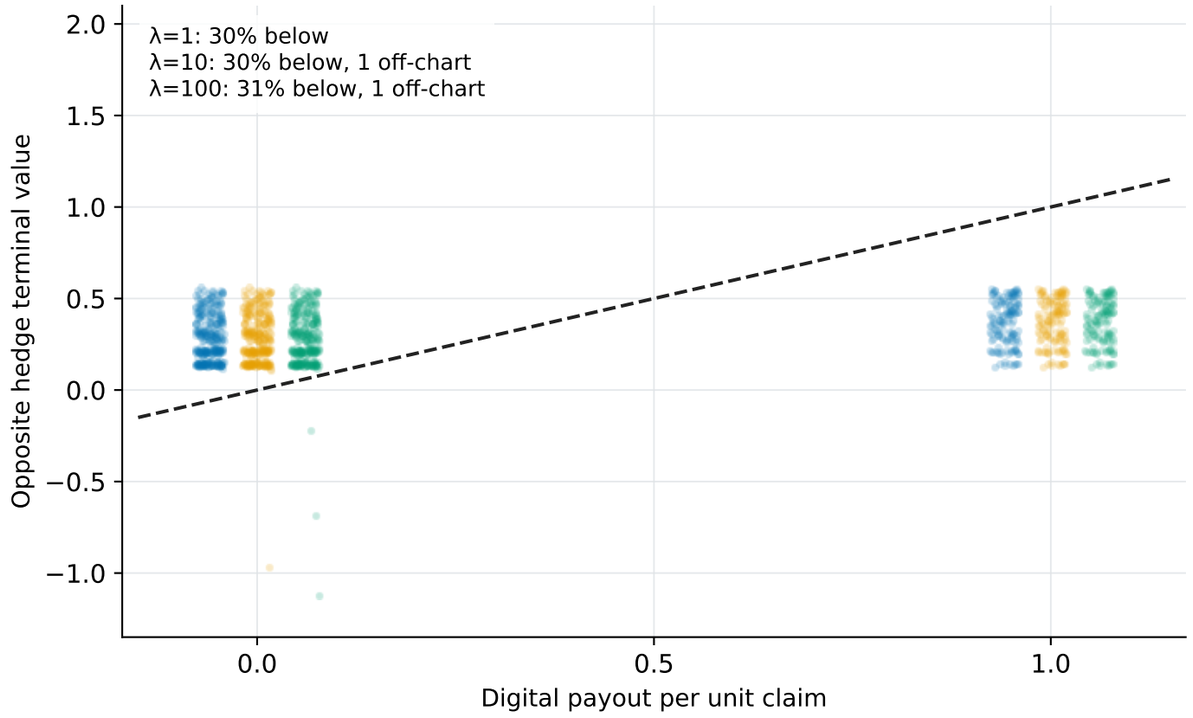
Entropy



Power-exponential



CVaR OCE

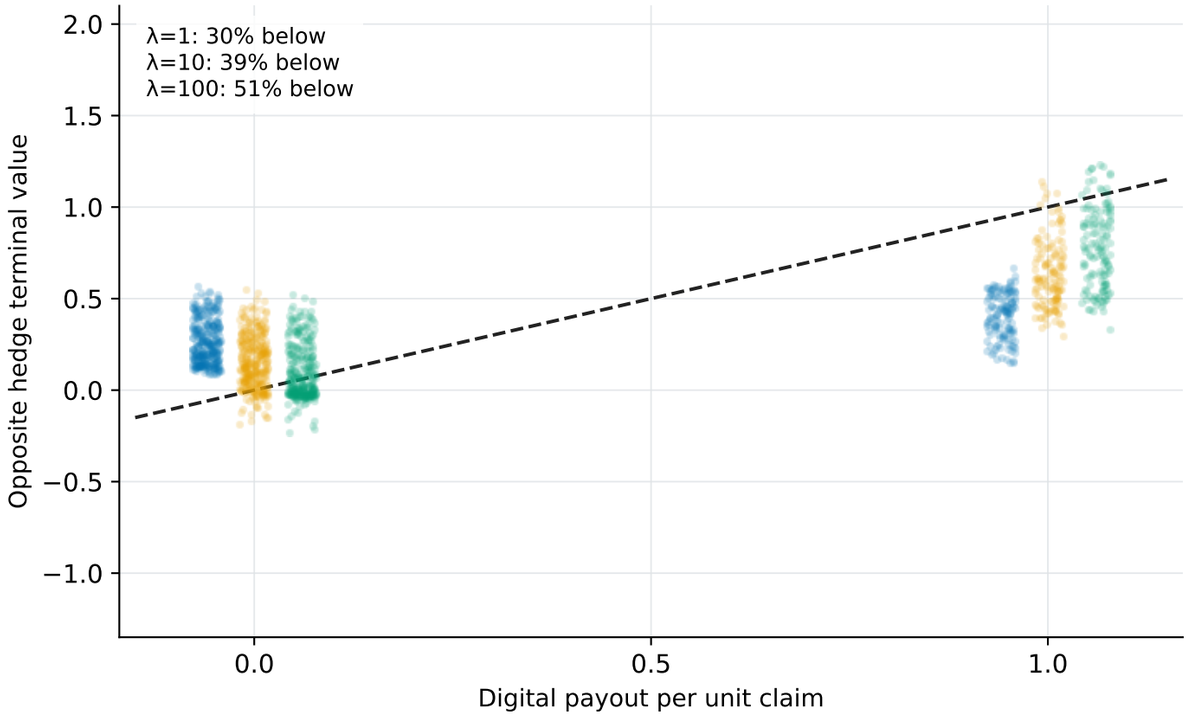


λ = 1 λ = 10 λ = 100

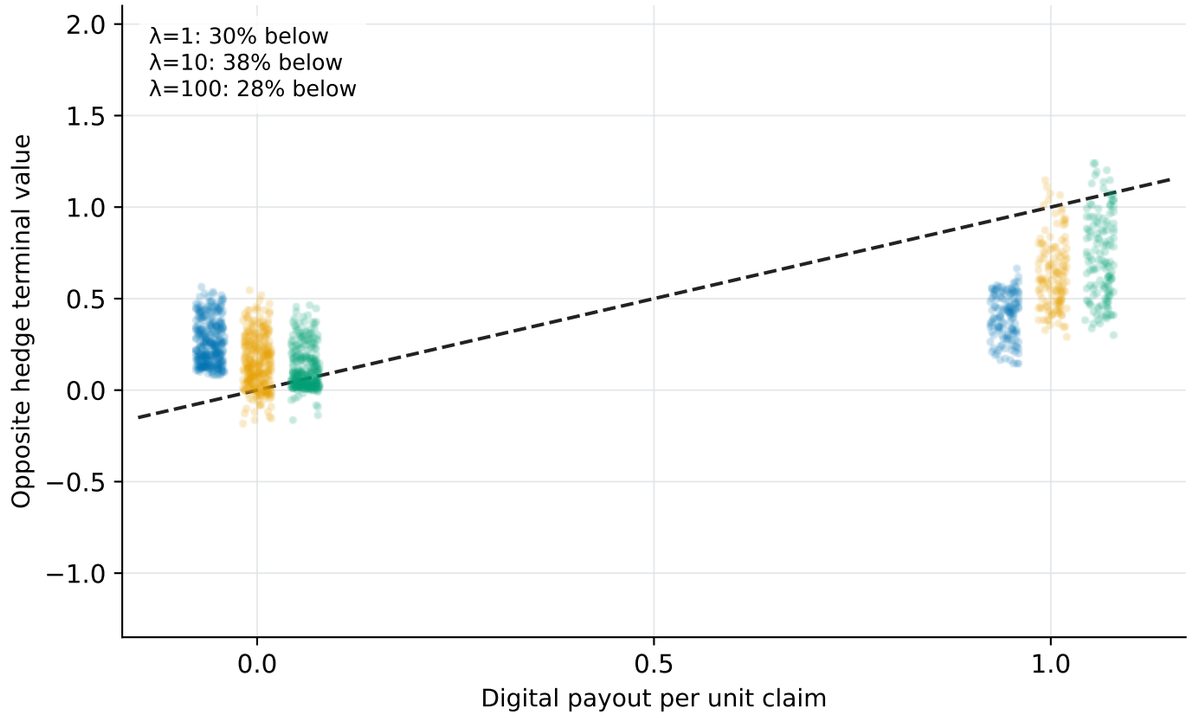
Out-of-sample market transitions; 44 dates × 10 digitals per complete cell. Below diagonal violates short-side coverage at the market premium. These are reversed long-side actions, not reoptimized superhedges.

GROMM P: opposite long-claim hedge versus digital payout

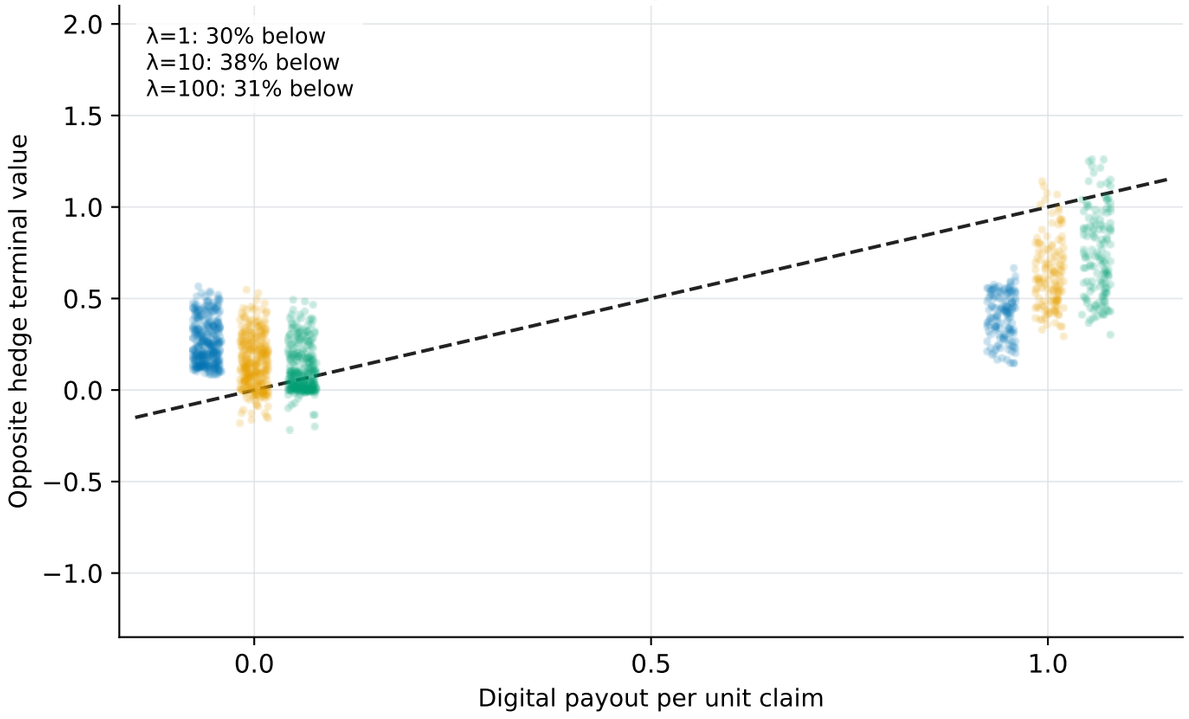
Mean-variance



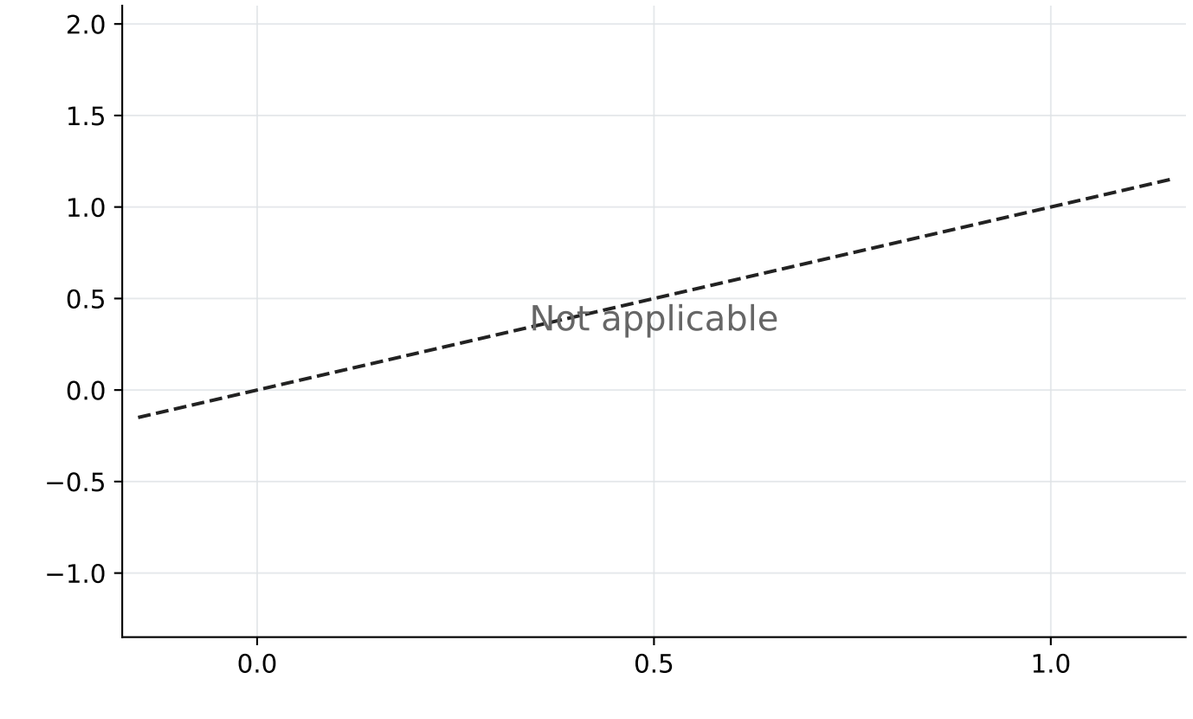
Entropy



Power-exponential



CVaR OCE

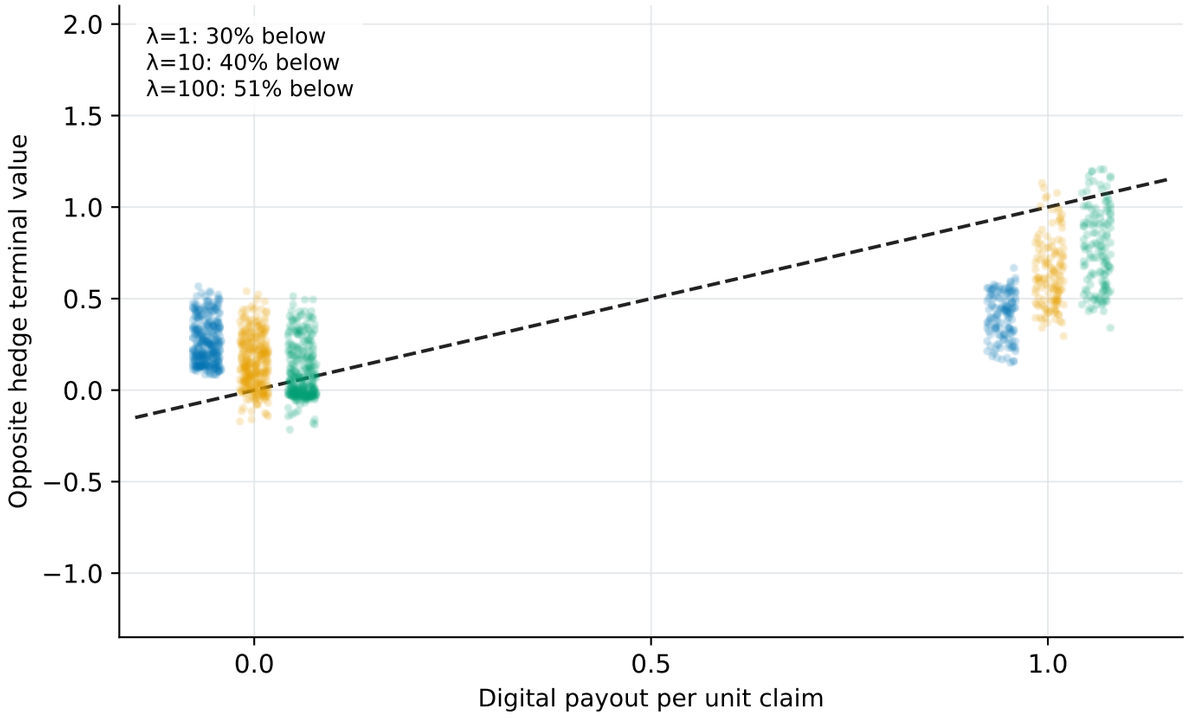


λ = 1 λ = 10 λ = 100

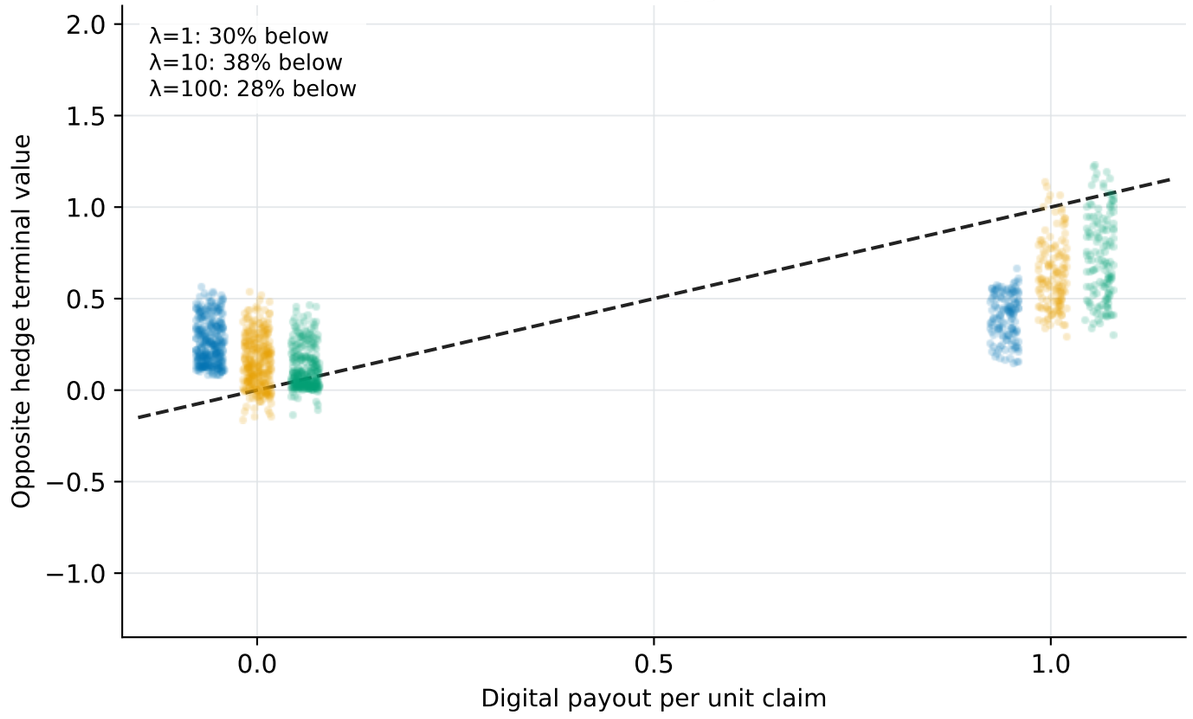
Out-of-sample market transitions; 44 dates × 10 digitals per complete cell. Below diagonal violates short-side coverage at the market premium. These are reversed long-side actions, not reoptimized superhedges.

GROMM Q: opposite long-claim hedge versus digital payout

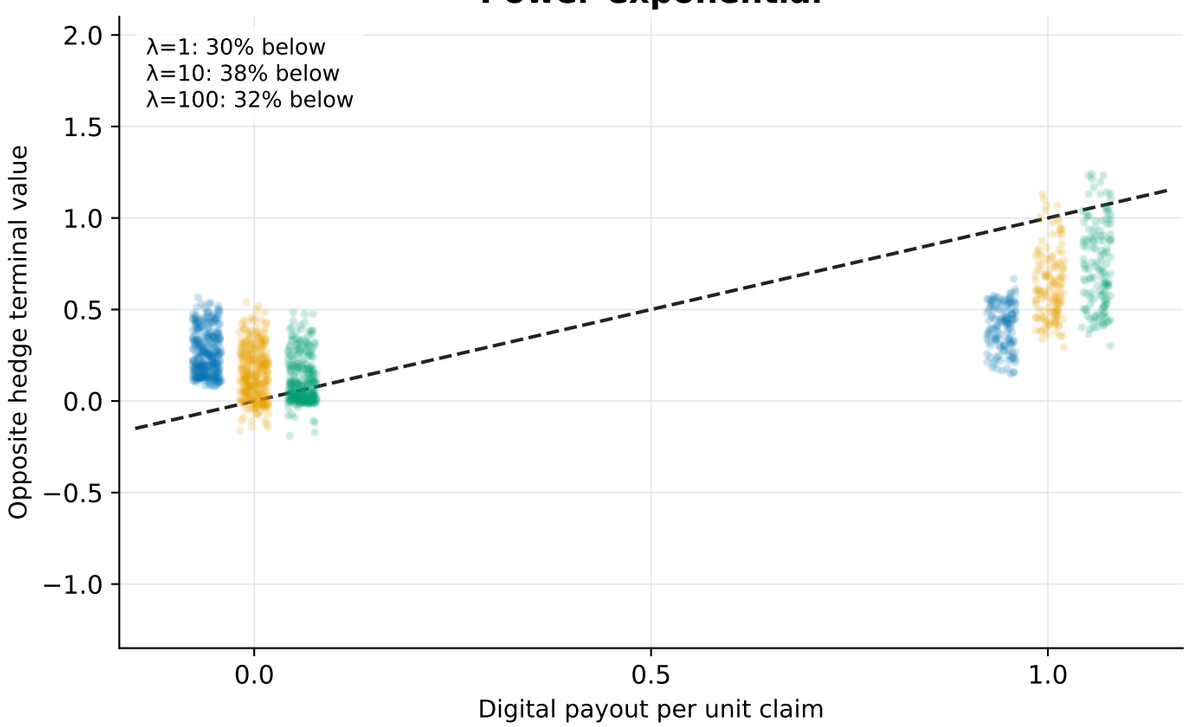
Mean-variance



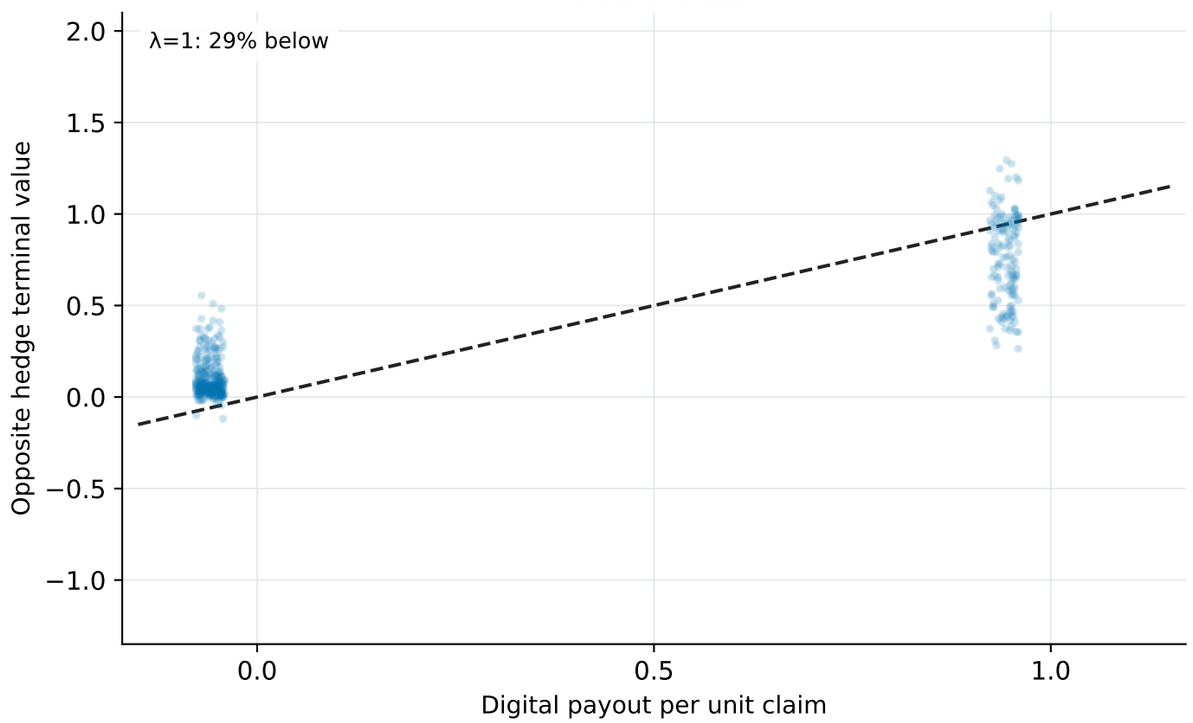
Entropy



Power-exponential



CVaR OCE

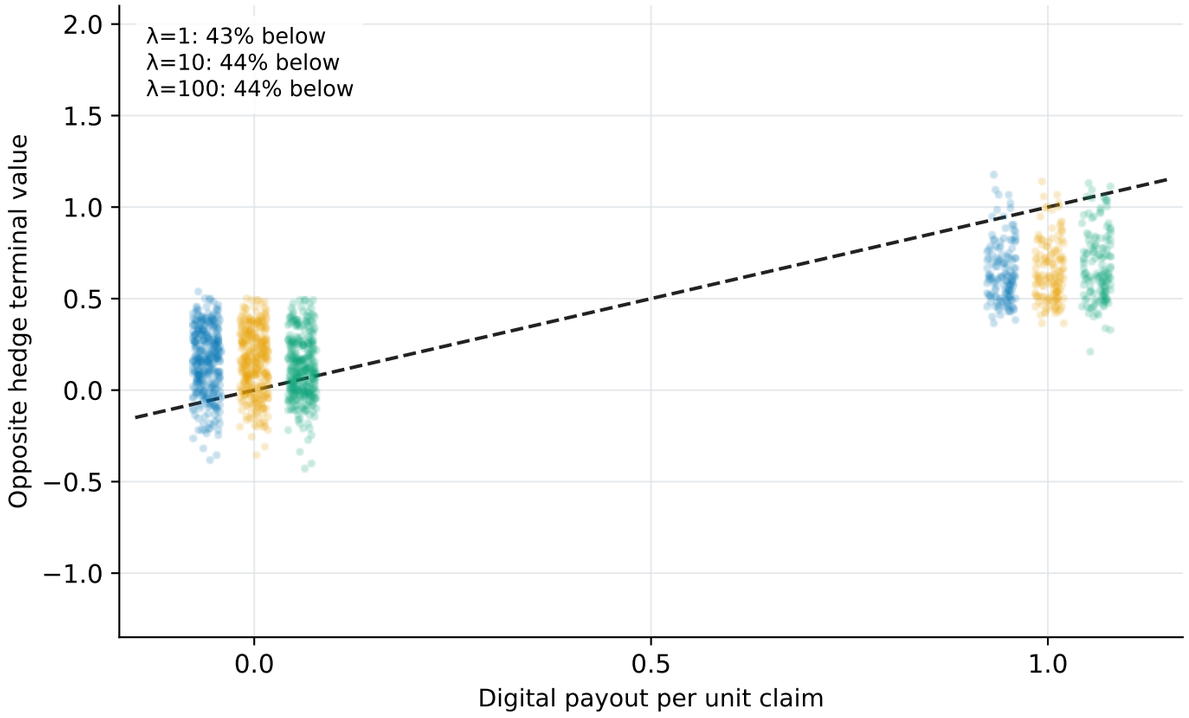


λ = 1 λ = 10 λ = 100

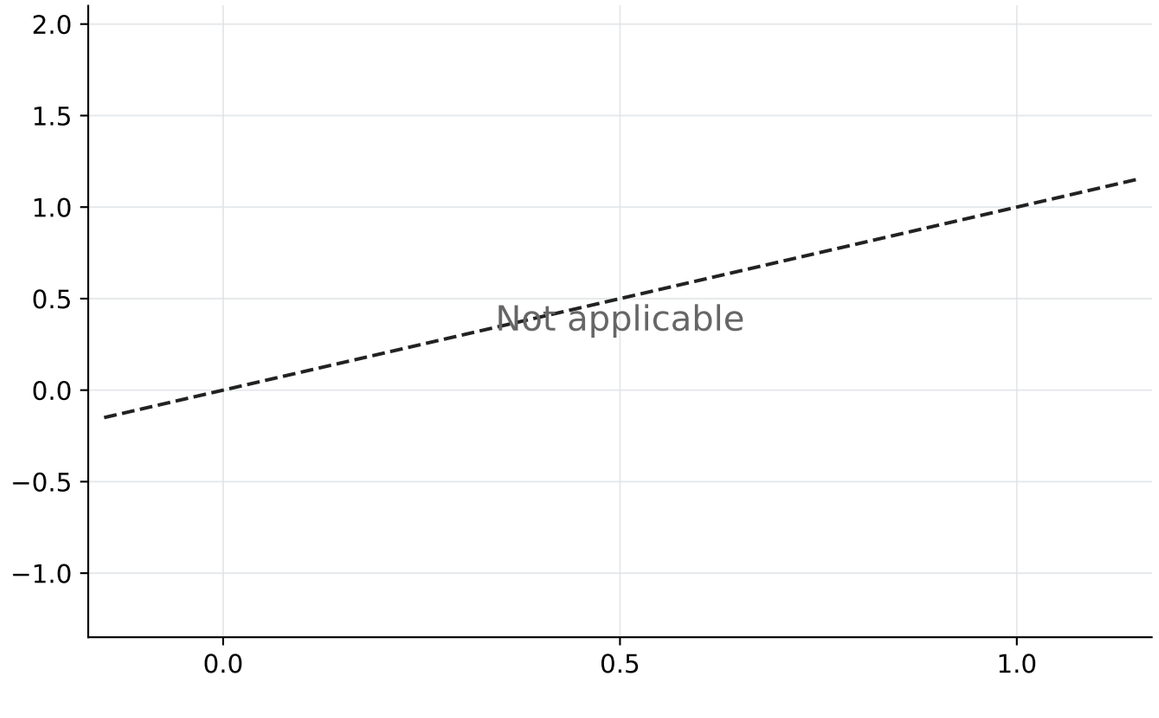
Out-of-sample market transitions; 44 dates × 10 digitals per complete cell. Below diagonal violates short-side coverage at the market premium. These are reversed long-side actions, not reoptimized superhedges.

SANOS parametric: opposite long-claim hedge versus digital payout

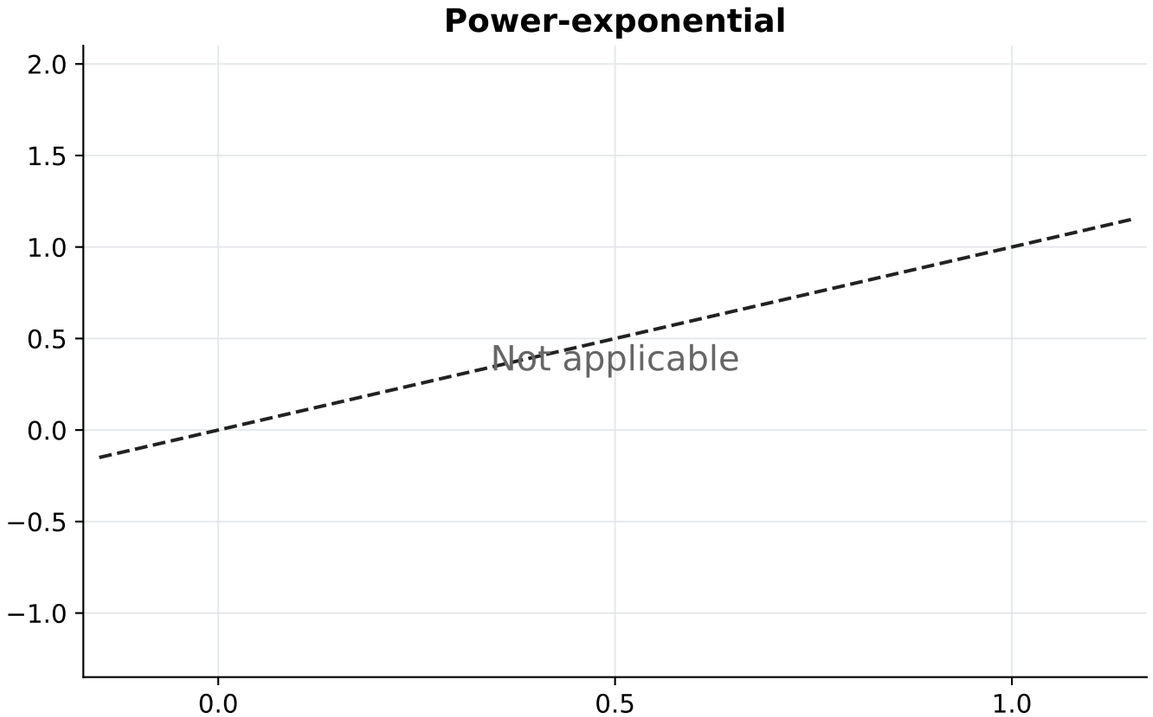
Mean-variance



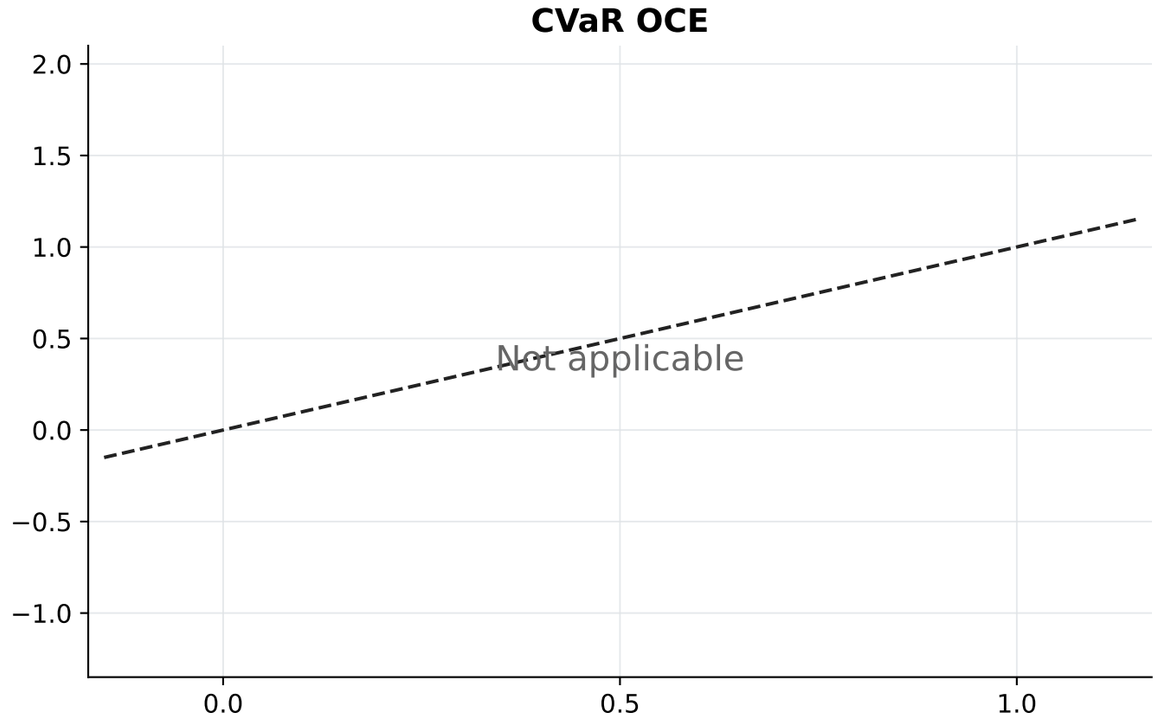
Entropy



Power-exponential



CVaR OCE

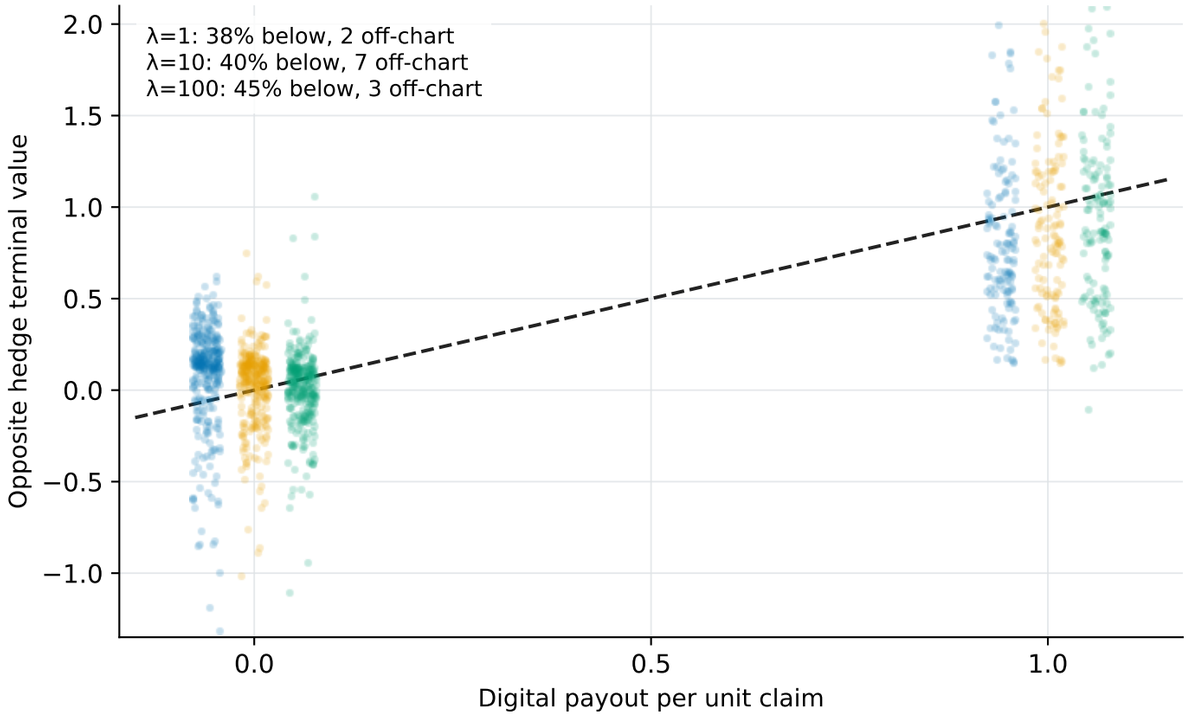


λ = 1 λ = 10 λ = 100

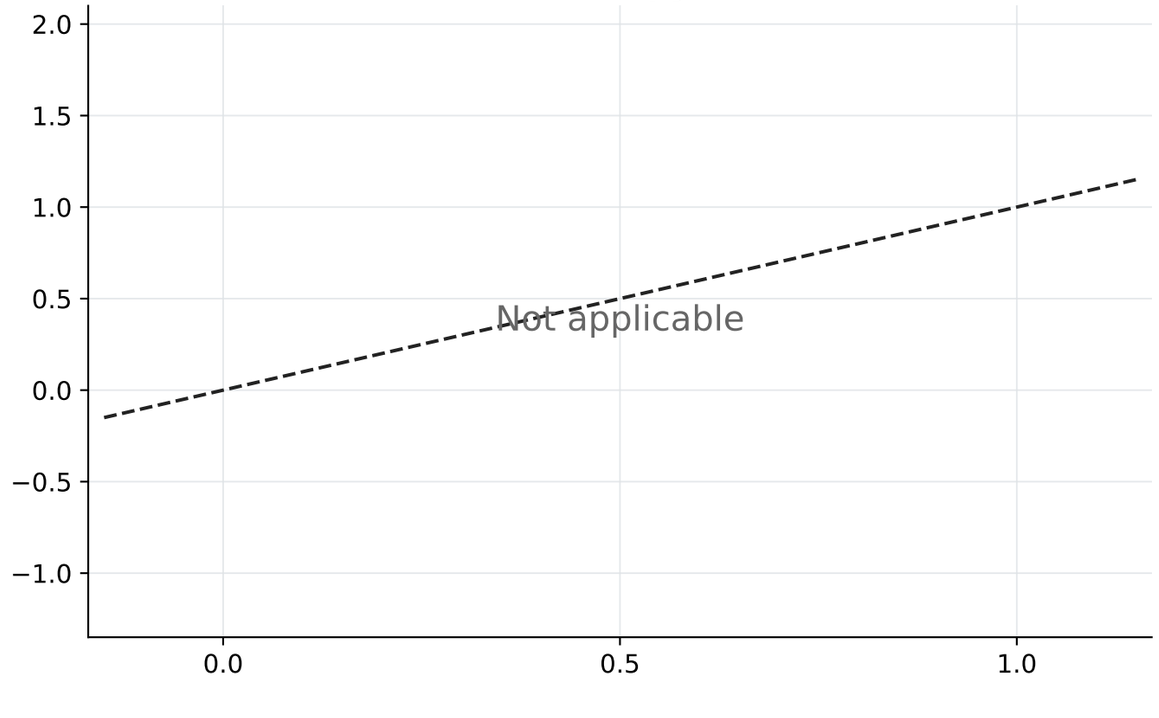
Out-of-sample market transitions; 44 dates × 10 digitals per complete cell. Below diagonal violates short-side coverage at the market premium. These are reversed long-side actions, not reoptimized superhedges.

Historical-PCA: opposite long-claim hedge versus digital payout

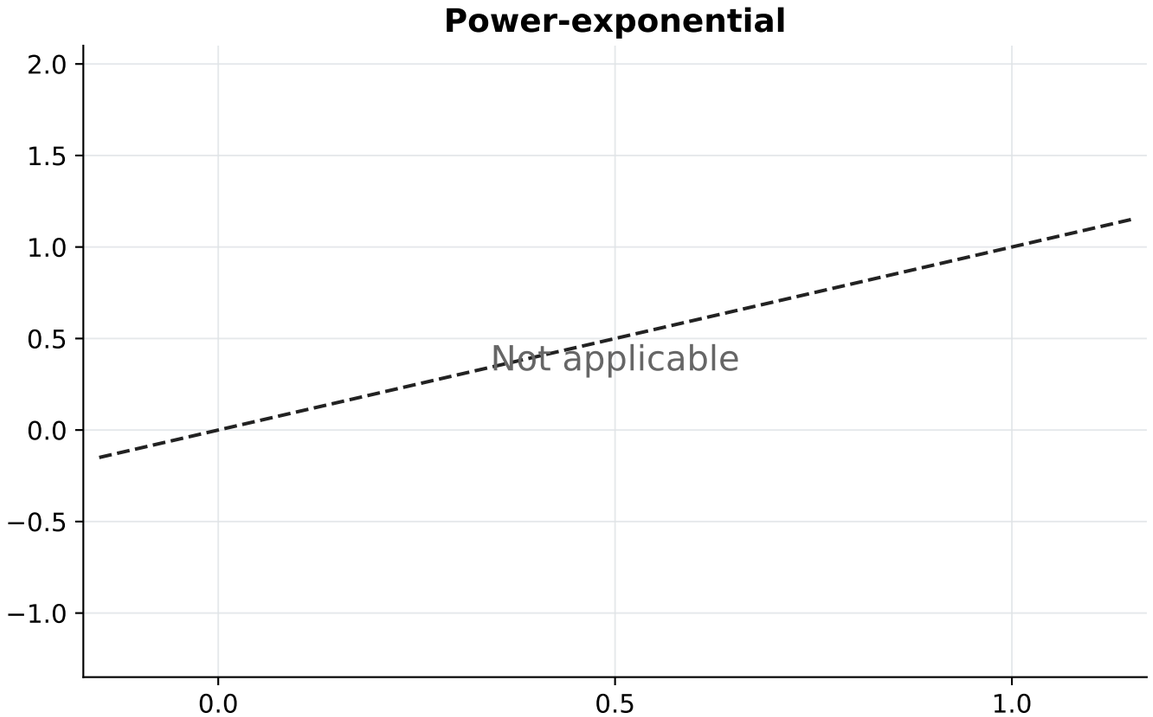
Mean–variance



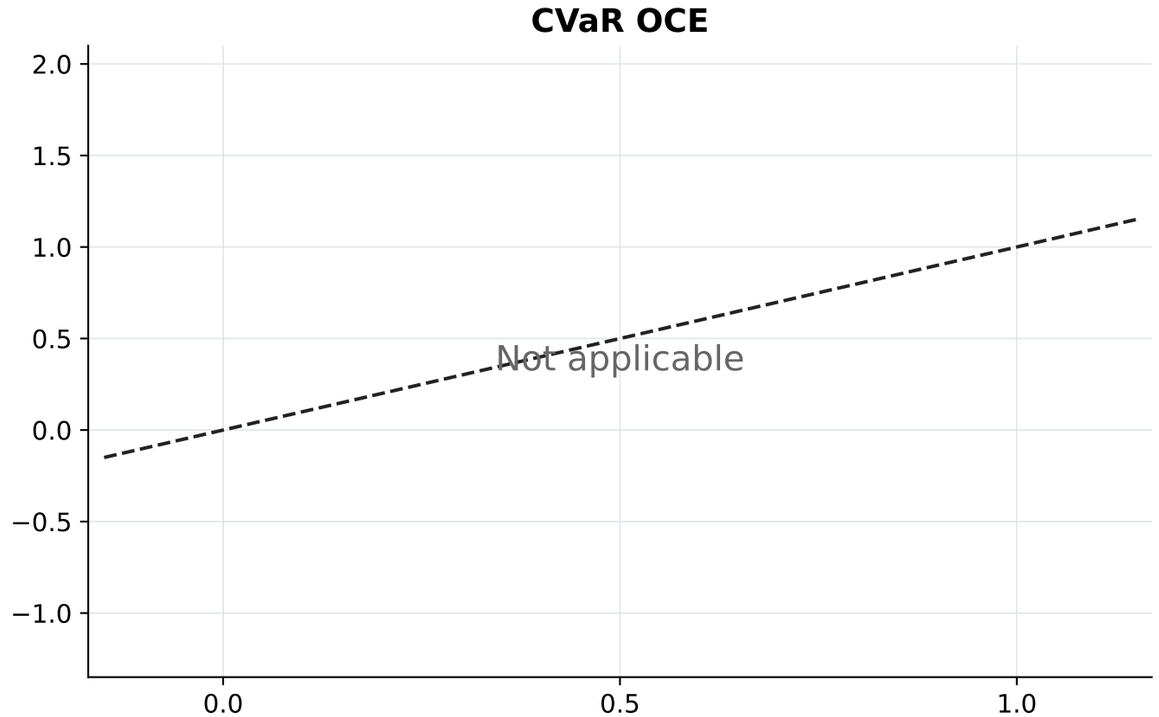
Entropy



Power-exponential



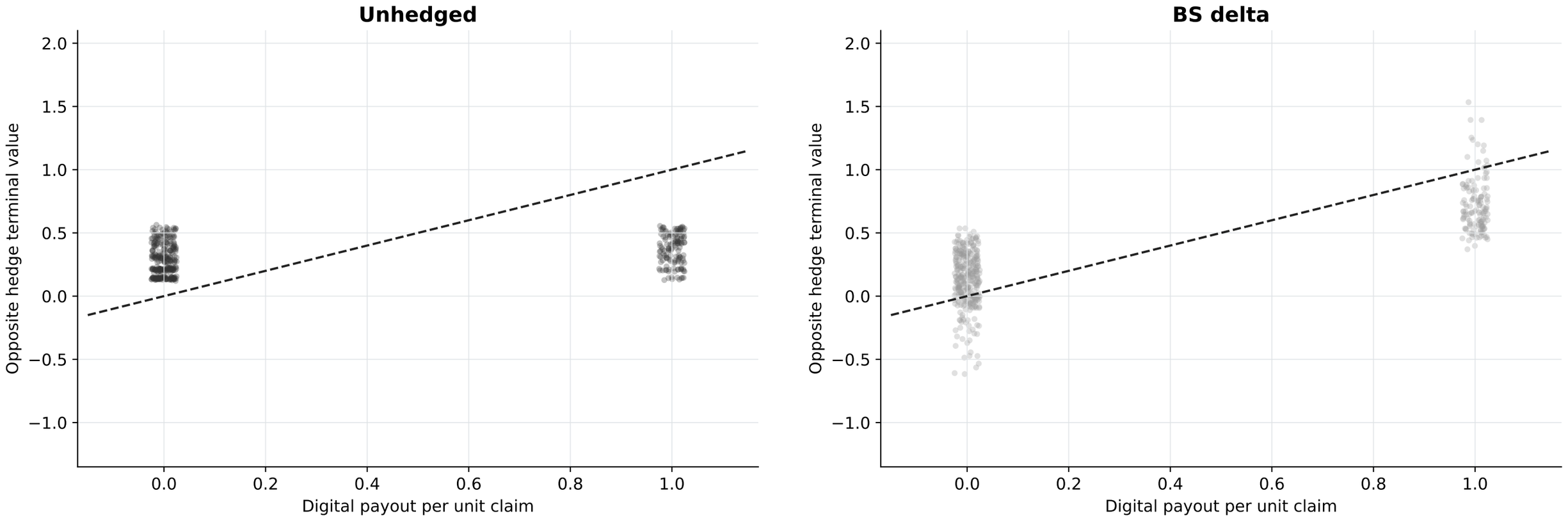
CVaR OCE



λ = 1 λ = 10 λ = 100

Out-of-sample market transitions; 44 dates × 10 digitals per complete cell. Below diagonal violates short-side coverage at the market premium. These are reversed long-side actions, not reoptimized superhedges.

Fixed baselines: opposite hedge versus digital payout



Below the dashed diagonal: the opposite hedge does not cover the digital payout. No short-side superhedge was optimized.